



CONSOLIDATED FINANCIAL STATEMENTS

IHC Health Services, Inc.

Years Ended December 31, 2021 and 2020

with Independent Auditors' Report



KPMG LLP
Suite 1500
15 W. South Temple
Salt Lake City, UT 84101

Independent Auditors' Report

Audit and Compliance Committee
IHC Health Services, Inc.:

Opinion

We have audited the consolidated financial statements of IHC Health Services, Inc. (the Company), which comprise the consolidated balance sheets as of December 31, 2021 and 2020, and the related consolidated statements of operations and changes in net assets, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2021 and 2020, and the results of their operations and their cash flows for the years then ended in accordance with U.S. generally accepted accounting principles.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with U.S. generally accepted accounting principles, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the consolidated financial statements are issued.



Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

KPMG LLP

Salt Lake City, Utah
March 17, 2022

IHC Health Services, Inc.
Consolidated Balance Sheets
(In Millions)

	December 31	
	2021	2020
Assets		
Current assets:		
Cash and equivalents	\$ 305	\$ 298
Assets limited as to use	1,093	1,237
Accounts receivable	1,139	848
Inventory	212	194
Due from brokers for securities sold	155	382
Other current assets	208	269
Total current assets	3,112	3,228
Assets limited as to use	9,994	8,277
Property and equipment, net	3,405	3,355
Other assets	1,146	936
Total assets	\$ 17,657	\$ 15,796
Liabilities and net assets		
Current liabilities:		
Accounts payable and accrued liabilities	\$ 547	\$ 433
Compensation and related liabilities	437	396
Due to brokers for securities purchased	149	539
Other current liabilities	488	424
Securities held for affiliate	508	210
Current portion of long-term debt	30	35
Long-term debt subject to short-term remarketing arrangements	436	488
Total current liabilities	2,595	2,525
Pension liability	230	640
Long-term debt	2,196	2,189
Other liabilities	897	1,145
Net assets:		
Without donor restrictions	11,354	8,952
With donor restrictions	385	345
	11,739	9,297
Total liabilities and net assets	\$ 17,657	\$ 15,796

See accompanying notes to consolidated financial statements.

IHC Health Services, Inc.

Consolidated Statements of Operations and Changes in Net Assets

(In Millions)

	Year Ended December 31	
	2021	2020
Revenues		
Patient services	\$ 6,890	\$ 5,853
Capitation	1,018	995
Other revenues	785	894
	<u>8,693</u>	<u>7,742</u>
Expenses		
Employee compensation and benefits	3,896	3,501
Supplies	1,843	1,639
Medical claims	745	645
Other operating expenses	1,179	1,121
	<u>7,663</u>	<u>6,906</u>
Earnings before interest, depreciation and amortization	1,030	836
Depreciation and amortization	406	397
Interest	66	61
	<u>472</u>	<u>458</u>
Net operating income	558	378
Nonoperating income (loss)		
Investment income	1,390	794
Gain from sale of affiliates	317	—
Loss from nonoperating affiliates	(19)	—
	<u>1,688</u>	<u>794</u>
Excess of revenues over expenses	<u>\$ 2,246</u>	<u>\$ 1,172</u>

(continued)

IHC Health Services, Inc.

Consolidated Statements of Operations and Changes in Net Assets (continued)

(In Millions)

	Year Ended December 31	
	2021	2020
Net assets without donor restrictions		
Excess of revenues over expenses	\$ 2,246	\$ 1,172
Unrecognized changes in funded status of postretirement benefit plans	416	(167)
Net transfers from (to) affiliates	(274)	271
Net assets released from restrictions for the purchase of property and equipment and other	14	20
Increase in net assets without donor restrictions	2,402	1,296
Net assets with donor restrictions		
Contributions	76	71
Net assets released from restrictions and other	(36)	(32)
Increase in net assets with donor restrictions	40	39
Increase in net assets	2,442	1,335
Net assets at beginning of year	9,297	7,962
Net assets at end of year	\$ 11,739	\$ 9,297

See accompanying notes to consolidated financial statements.

IHC Health Services, Inc.
Consolidated Statements of Cash Flows
(In Millions)

	Year Ended December 31	
	2021	2020
Operating activities		
Cash received from patient services	\$ 6,483	\$ 6,075
Cash received from capitation	1,028	1,015
Other receipts from operations	780	949
Interest and dividends received	237	134
Cash paid for employee compensation and benefits	(3,870)	(3,484)
Cash paid for supplies and other operating expenses	(2,992)	(2,878)
Cash paid for medical claims	(745)	(612)
Interest paid	(82)	(91)
Net cash provided by operating activities	839	1,108
Investing activities		
Purchases of property and equipment	(402)	(316)
Assets limited as to use:		
Purchases of investments	(2,002)	(1,744)
Sales and maturities of investments	1,722	854
Net purchases of trading securities	(173)	(319)
Cash paid for acquisitions, net of cash acquired	(276)	(9)
Net cash received from sale of affiliates	332	—
Net cash used by nonoperating affiliates	(20)	(14)
Net cash used in investing activities	(819)	(1,548)
Financing activities		
Proceeds from issuance of debt	—	650
Repayment of debt	(35)	(247)
Borrowings under line of credit agreement	—	100
Repayment of borrowings under line of credit agreement	—	(100)
Net transfers from (to) affiliates	(274)	271
Restricted contributions and other	36	16
Net cash provided by (used in) financing activities	(273)	690
Net increase (decrease) in cash and equivalents	(253)	250
Cash and equivalents at beginning of year	584	334
Cash and equivalents at end of year	\$ 331	\$ 584
Reconciliation of cash and equivalents		
Cash and equivalents	\$ 305	\$ 298
Cash in assets limited as to use	26	286
Cash and equivalents	\$ 331	\$ 584

See accompanying notes to consolidated financial statements.

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
(Dollars in Millions)

1. Organization

The mission of IHC Health Services, Inc. (the Company) is “helping people live the healthiest lives possible.” The Company is a Utah nonprofit corporation that has been granted an exemption from federal income tax as a charitable organization under Section 501(c)(3) of the Internal Revenue Code (Code). The Company owns and manages hospitals, clinics and other health-related operations, principally in Utah, Nevada and Idaho. The Company is the sole stockholder of Intermountain Medical Holdings Nevada, Inc. (Intermountain Nevada), which provides medical services to members under capitation agreements and operates clinics in the state of Nevada. The Company is the sole corporate member of Intermountain Healthcare Foundation, Inc. (the Foundation), which raises funds and makes distributions primarily to or for the benefit of the Company. The Foundation is a Utah nonprofit corporation that has been granted an exemption from federal income tax as a charitable organization under Section 501(c)(3) of the Code. Intermountain Health Care, Inc. (Intermountain) is the sole corporate member of the Company. Intermountain is a Utah nonprofit corporation that has been granted an exemption from federal income tax as a charitable organization under Section 501(c)(3) of the Code.

On March 31, 2021, the Company sold all outstanding stock of its wholly owned subsidiary Intalere, Inc. (Intalere) to Vizient, Inc. (Vizient). Additionally, on July 1, 2021, the Company acquired 100% of the membership units of Classic Aviation Holdings, LLC and subsidiaries (Classic). See Note 3.

2. Significant Accounting Policies

Principles of Consolidation

The consolidated financial statements include the operations of the Company, which includes Intermountain Nevada and the Foundation. Intercompany balances and transactions have been eliminated in consolidation.

Use of Estimates

The preparation of consolidated financial statements in conformity with U.S. generally accepted accounting principles requires certain estimates that affect the reported amounts of assets, liabilities, revenues, expenses and amounts disclosed in the notes to the consolidated financial statements. Due to uncertainties inherent in these estimation processes, there is at least a reasonable possibility that actual results may differ materially from these estimates in the near term.

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
(Dollars in Millions)

2. Significant Accounting Policies (continued)

Charity Care

The Company is dedicated to the principle that generally available and medically necessary healthcare services should be accessible to all residents of the communities it serves without regard to race, color, religion, sex, sexual orientation, gender identity, national origin, disability, protected veteran status or ability to pay. Decisions about medical necessity and the appropriate course of treatment are made by a physician or other licensed medical practitioner. The Company has established a financial assistance policy for both the uninsured and the underinsured. The Company offers discounts of up to 100% of charges on a sliding scale, which is based on household income as a percentage of the federal poverty level guidelines and charges for services rendered. The Company's financial assistance guidelines also have provisions that are responsive to those patients subject to catastrophic healthcare expenses. Charity care services are not reported as revenue because payment is not anticipated. Charity care represents only one component of the community benefit provided by the Company.

Cash and Equivalents

Cash and equivalents consist of deposits with banks and highly liquid investments in interest-bearing securities with original maturity dates of three months or less at the date of purchase. Certain cash investments included in assets limited as to use (see Note 6) in the consolidated balance sheets are intended to be invested on a long-term basis and are therefore excluded from cash and equivalents in the consolidated statements of cash flows.

Assets Limited as to Use

Assets limited as to use primarily consists of investments that are classified as trading or other-than-trading securities based on management's intent and ability to hold each investment. Other-than-trading fixed-income securities that experience declines in value are regularly evaluated for other-than-temporary impairment. Impairment losses for declines in the value of other-than-trading fixed-income securities below cost are evaluated based on relevant facts and circumstances for each investment. Impairment losses are recognized in investment income in the consolidated statements of operations and changes in net assets when deemed to be other than temporary.

The Company accounts for its investments on a trade-date basis. Investment sales and purchases initiated prior to the consolidated balance sheet date that are to be settled subsequent to the consolidated balance sheet date result in amounts due from and to brokers. Changes in these assets and liabilities represent noncash investing activities excluded from the consolidated statements of cash flows. The cost of investments sold is determined in accordance with the average-cost method, and realized gains and losses are included in investment income in the consolidated statements of operations and changes in net assets.

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
(Dollars in Millions)

2. Significant Accounting Policies (continued)

Fair Value of Financial Instruments

Fair value is the exchange price that would be received for an asset or paid to transfer a liability (an exit price) in the principal or most advantageous market for the asset or liability in an orderly transaction among market participants on the measurement date. The carrying amounts of accounts receivable, accounts payable and accrued liabilities approximate fair value due to the short-term nature of these instruments. Cash and equivalents and assets limited as to use are carried at fair value.

Concentrations of Credit Risk

Financial instruments that potentially subject the Company to concentrations of credit risk consist primarily of accounts receivable. SelectHealth, Inc. (SelectHealth), an affiliate of the Company and a Utah nonprofit corporation that has been granted an exemption from federal income tax as a charitable organization under Section 501(c)(4) of the Code, is a licensed health maintenance organization and third-party administrator. SelectHealth offers government-sponsored Medicare Advantage plans in Utah and Idaho as well as a managed Medicaid plan in Utah. Medicare and Medicaid accounts, including amounts receivable from government-sponsored plans through SelectHealth, represent 41% and 44% of net accounts receivable as of December 31, 2021 and 2020, respectively. Accounts receivable from SelectHealth for nongovernment-sponsored plans represents 16% and 17% of net accounts receivable as of December 31, 2021 and 2020, respectively. Management does not believe there are any other significant concentrations of credit risk as of December 31, 2021 or 2020.

Liquidity and Availability of Financial Resources

The Company regularly monitors liquidity to meet its cash flow requirements and operating needs. The availability of financial assets is primarily affected by management designations, the nature of the underlying assets, external limitations imposed by donors or contracts with others.

Inventory

Inventory is carried at the lower of cost, determined on the average-cost method, or net realizable value.

Property and Equipment

Property and equipment are stated on the basis of cost. Expenditures that increase values or extend useful lives are capitalized, and routine maintenance and repairs are charged to expense in the period incurred. Depreciation is computed using the straight-line method over the estimated useful lives of the assets. Depreciation begins in the month of acquisition or when constructed assets are ready for their intended use. Useful lives are generally assigned as listed in the American Hospital Association publication, *Estimated Useful Lives of Depreciable Hospital Assets*.

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
(Dollars in Millions)

2. Significant Accounting Policies (continued)

Long-lived Assets

Long-lived assets are reviewed for impairment when there is evidence that events or changes in circumstances indicate the carrying amount of such assets may not be fully recoverable. Recoverability of an asset or asset group is assessed by comparing the carrying amount to the estimated undiscounted future net cash flows. If impairment is indicated, then the carrying amount of long-lived assets is reduced to the approximate fair value. Impairments of long-lived assets recorded during 2021 and 2020 were not significant. In addition, remaining estimated useful lives of long-lived assets are reduced based on planned changes in the intended use of the assets.

Goodwill

Goodwill is reviewed for impairment on an annual basis or sooner if indicators of impairment arise. Indicators of impairment are based on market conditions and operational performance. Goodwill impairments recorded during 2021 and 2020 were not significant.

Leases

The Company determines if an arrangement is a lease at the inception of the contract and recognizes rights and obligations of lease contracts as right-of-use assets and lease liabilities, respectively, in the consolidated balance sheets at the contract commencement date based on the present value of the lease payments over the expected lease term. In the absence of a stated interest rate in the lease contract, the Company uses its incremental borrowing rate to determine the present value of the lease payments. The Company does not separate lease components from nonlease components of the lease contract when determining lease rights and obligations.

Pension and Other Postretirement Plans

The Company records amounts related to its pension and other postretirement plans based on estimates that incorporate various actuarial and other assumptions, including discount rates, mortality, rates of return, compensation increases and employee turnover rates. Management reviews these assumptions on an annual basis and modifies them based on current rates and trends, as appropriate. The effect of modifications to the assumptions is recorded as a change in net assets without donor restrictions excluded from excess of revenues over expenses and is amortized to pension cost and other postretirement benefit over future periods using the corridor method. Management believes that the assumptions utilized in recording its obligations under its pension and other postretirement plans are reasonable based on the experience of these plans and market conditions.

Net Assets

Net assets not restricted by donors are reported as net assets without donor restrictions in the consolidated balance sheets.

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
(Dollars in Millions)

2. Significant Accounting Policies (continued)

Net Assets (continued)

Net assets restricted by donors for specified purposes or investment in perpetuity are reported as net assets with donor restrictions in the consolidated balance sheets. When donor-specified purposes are satisfied, net assets with donor restrictions are reclassified to net assets without donor restrictions and reported in the consolidated statements of operations and changes in net assets as other revenues or other changes in net assets without donor restrictions, depending on the nature of the restriction.

Patient Services Revenues

Patient services revenues are derived from contracts for healthcare services provided by the Company to patients. The Company receives payments directly from patients or on behalf of patients from the federal government under the Medicare program, state governments under their Medicaid programs, private insurance companies and managed care programs. The Company recognizes patient services revenues from patients and third-party payers at amounts it expects to receive (net of contractual adjustments, adjustments for unpaid services and discounts), including variable consideration for certain estimated retroactive adjustments under payment programs with third-party payers, in exchange for providing patient care. Estimates of contractual adjustments for third-party payers are based on payment terms in the associated contractual agreements and payment history. Patient services revenues are also adjusted in future periods as final settlements and reconciliations with third-party payers are determined. Subsequent changes to the estimate of the transaction price are generally recorded as adjustments to patient services revenues in the period of the change.

Performance obligations for healthcare services provided to patients generally relate to contracts of one year or less. Performance obligations for inpatient services are generally completed at the time the patients are discharged. Performance obligations for outpatient services are generally satisfied over a period of less than a day.

For uninsured patients who do not qualify for charity care, the Company recognizes patient services revenues for services provided on a discounted basis from its established rates, as provided by policy. Based on historical experience, a significant portion of the Company's uninsured and underinsured patients are unwilling to pay for the services provided. Accordingly, the Company records adjustments to patient services revenues in the period services are rendered for amounts not expected to be paid.

Management estimates the adjustments recorded for these unpaid services by assessing the collectibility, timing and amount of patient services revenues by considering historical collection rates for each major payer source, general economic trends and other indicators. Management also assesses the adequacy of the adjustments for unpaid services based on historical write-offs, accounts receivable aging and other factors.

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
(Dollars in Millions)

2. Significant Accounting Policies (continued)

Capitation

Intermountain Nevada has capitation contracts with third-party payers that pay annual fixed amounts per enrolled member to effectively subcontract a significant portion of the responsibility and risks for managing patient care to Intermountain Nevada. Intermountain Nevada recognizes capitation revenues from third-party payers at amounts it expects to receive in exchange for providing patient care, including variable consideration for certain estimated retroactive adjustments under these capitation contracts. Capitation revenues are also adjusted in future periods as final settlements and reconciliations with third-party payers are determined. Subsequent changes to the estimates of the transaction price are generally recorded as adjustments to capitation revenues in the period of the change. Performance obligations for capitation revenues are generally satisfied over a period of one year or less.

Other Revenues

Other revenues primarily include pharmacy sales, lab services to unaffiliated healthcare providers, foundation funds released from restriction, medical office rentals, cafeteria sales, and grants resulting from the Coronavirus Aid, Relief and Economic Security Act (CARES Act) for which terms and conditions of the funding were met (see Note 23). Excluding grants, the Company recognizes other revenues at amounts that reflect the consideration it has received, or to which it expects to be entitled, in exchange for providing products or services. Performance obligations for other revenues are generally satisfied over a period of one year or less.

Operating and Nonoperating Activities

The Company's primary objective is to meet the health needs of individuals through a broad range of general and specialized healthcare services, including inpatient acute care, outpatient services, clinical services and other healthcare services. Activities directly associated with the furtherance of this objective are considered to be operating activities. Nonoperating activities are included in nonoperating income (loss) in the consolidated statements of operations and changes in net assets and include investment activities and the financial results of certain affiliates for which the Company maintains controlling ownership interests, but are peripheral to the Company's primary objective.

Excess of Revenues over Expenses

Excess of revenues over expenses includes the Company's operating and nonoperating activities. Changes in net assets without donor restrictions not included in excess of revenues over expenses primarily include unrecognized changes in funded status of postretirement benefit plans and net transfers from (to) affiliates.

Reclassifications

Certain reclassifications were made to the 2020 consolidated financial statements and accompanying notes to conform to the 2021 presentation. These changes had no impact on excess of revenues over expenses or net assets of the Company.

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
(Dollars in Millions)

3. Organizational Changes

Disposition of Intalere and Other Affiliates

As described in Note 1, the Company sold all outstanding stock of Intalere to Vizient on March 31, 2021 resulting in a gain of \$288. Additionally, during 2021, the Company sold two other affiliates for a combined gain of \$29. The Company received net cash of \$332 and stock with a fair value of \$38 from the three transactions. Gains recognized from these transactions are included in gain on sale of affiliates in the consolidated statements of operations and changes in net assets.

Acquisition of Classic

As described in Note 1, on July 1, 2021, the Company acquired Classic, which provides critical care air transport and helicopter air ambulance services with operations primarily in eight states, including Alaska, in the western United States, Haiti, and Puerto Rico. This strategic acquisition was made to better serve the Company's patients living in rural communities by expanding its geographical footprint in the Intermountain region.

In connection with the acquisition, the Company followed the purchase accounting conventions as prescribed by Financial Accounting Standards Board Accounting Standards Codification Topic 805, *Business Combinations*, to establish the consolidated opening balance sheet of Classic as of July 1, 2021. The consolidated balance sheets include all purchase accounting adjustments necessary to present Classic's balances at fair value as of the acquisition date.

The following table summarizes the final allocation of consideration paid for the assets acquired and liabilities assumed of Classic as of July 1, 2021:

Cash	\$ 2
Other current assets	45
Property and equipment	39
Intangible assets	37
Goodwill	159
Other assets	18
Current liabilities	(7)
Other liabilities	(15)
Fair value of assets and liabilities	<u>\$ 278</u>

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
(Dollars in Millions)

3. Organizational Changes (continued)

Acquisition of Classic (continued)

Goodwill relates to the expected synergies between Classic and the Company, Classic's workforce and other intangible assets that do not qualify for separate recognition. Intangible assets, included in other assets in the consolidated balance sheets, primarily relate to facility contracts and a trade name acquired that had a remaining weighted average intangible asset amortization period of 9.9 years as of December 31, 2021.

For the period from July 1, 2021 through December 31, 2021, Classic's net revenues were \$59, which were recognized in patient services revenues in the consolidated statements of operations and changes in net assets.

4. Charity Care and Community Benefit

The estimated cost of charity care provided by the Company was \$165 and \$158 in 2021 and 2020, respectively. The cost to provide charity care for patients who qualify under the Company's financial assistance policy was estimated by multiplying the charges incurred at established rates for services rendered by the Company's cost-to-charge ratio. In addition to charity care, the Company also provides significant financial support to improve the health of individuals in the communities it serves.

A summary of estimated costs to provide charity care and other community services is as follows:

	Year Ended December 31	
	2021	2020
Estimated cost of charity care	\$ 165	\$ 158
Other community benefit services and contributions	228	207
	<u>\$ 393</u>	<u>\$ 365</u>

The Company also incurs shortfalls between its established rates and amounts paid by the Medicare (principally related to elderly patients) and Medicaid (principally related to low-income patients) programs. These shortfalls are not included in charity care or other community services.

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
(Dollars in Millions)

4. Charity Care and Community Benefit (continued)

The Company provides community benefit services that address significant health priorities identified by the Company. Services include community health education and community-based health initiatives focusing on prediabetes prevention, high blood pressure, depression, suicide, and prescription opioid misuse as well as increasing access to health and behavioral health services. The Company supports upstream initiatives, such as social care and nutrition security, through ongoing expansion of programs that screen for social care needs, building collaborations to address needs and utilization of predictive data for proactive outreach. Other community benefit services include community and school-based health clinics, intern and resident training, health professions education and medical research. The Company owns and operates three community and school-based health clinics to meet the needs of uninsured, low-income and homeless patients in locations where there are no other healthcare providers. The Company also provides financial and in-kind support to 59 independently owned community safety-net clinics in Utah, Idaho and Arizona that provide healthcare services to medically underserved patients. In addition, the Company is committed to providing healthcare services to rural communities, operating nine hospitals in rural locations.

In 2021, the Company contributed \$10 to the Civica Foundation for the research and development of biosimilar insulin to help address the costs of insulin for individuals with diabetes. This contribution will help to provide a more affordable version of this life-sustaining medicine to individuals with diabetes.

In 2020, the Company committed \$50 to the University of Utah to establish a population health medical education endowment fund, the earnings from which will support a transformative population health medical education model. These funds will be used to establish the Intermountain Healthcare Population Health Student Scholars Program providing loan awards, which will fund partial tuition support for a cohort of students from each medical school class, and create population health endowed professorships to advance population healthcare delivery science and outcomes research. As of December 31, 2021, the Company had paid \$30 and is scheduled to pay \$10 annually in 2022 and 2023.

In 2018, the Company committed \$15 to the Huntsman Cancer Foundation (HCF) to support research at the Huntsman Cancer Institute. As of December 31, 2021, the Company had paid \$12 and is scheduled to pay \$3 in 2022. Also, in 2018, the Company committed \$10 to HCF to improve community health initiatives for the Utah Cancer Outcomes, Outreach, and Policy Center. As of December 31, 2021, the Company had paid \$8 and is scheduled to pay \$2 in 2022. In addition, in 2018, the Company committed \$12 to United Way of Northern Utah to support the Utah Alliance for the Determinants of Health. In 2020, the Company paid \$4 to fulfill this commitment.

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
(Dollars in Millions)

4. Charity Care and Community Benefit (continued)

In 2015, the Company committed \$15 to the University of Utah School of Medicine to support the construction of a new education building. In 2020, the Company paid \$3 to fulfill this commitment.

The Company is not affiliated with any of the beneficiaries of the preceding contribution commitments.

The Company provides a number of services that are not financially self-supporting, in that patient services revenues are less than the costs required to provide the services. Such negative margin services benefit uninsured and low-income patients as well as the broader community. For example, the Company is the principal or only provider of behavioral health services, certain medical specialties and select primary care services in many of the communities in which it operates.

The communities the Company serves also benefit from services provided by volunteers, trustees and medical staff that might otherwise require the use of compensated employees and trustees. Volunteer services are not reported as operating expenses in the consolidated statements of operations and changes in net assets because no payment is made.

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
(Dollars in Millions)

5. Liquidity and Availability of Financial Resources

A summary of financial assets available to meet cash needs for general expenditures within one year is as follows:

	December 31	
	2021	2020
Cash and equivalents	\$ 305	\$ 298
Assets limited as to use	11,087	9,514
Accounts receivable	1,139	848
Due from brokers for securities sold	155	382
Other current assets	208	269
Less amounts not available to be used within one year:		
Private debt, private equity, real asset and strategic development funds	(1,918)	(1,305)
Securities held for affiliate	(508)	(210)
Donor-restricted funds	(307)	(239)
Prepaid assets and other	(100)	(109)
Bond funds held in trust	(94)	(190)
	<u>\$ 9,967</u>	<u>\$ 9,258</u>

Donor-restricted funds are available for expenditure upon satisfaction of the restriction, the expected timing of which is not generally determinable in advance. The Company also has lines of credit available as described in Note 11.

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
(Dollars in Millions)

6. Fair Value Measurements

The methods used to determine the fair value of financial instruments reflect market participant objectives and are based on the application of a valuation hierarchy that prioritizes observable market inputs over unobservable inputs. The hierarchy is based on the reliability of inputs as follows:

- Level 1 – Valuation is based on quoted prices for identical financial instruments in active markets. The Company does not adjust the quoted price for Level 1 financial instruments.
- Level 2 – Valuation is based on quoted prices for similar instruments in active markets, quoted prices for identical or similar instruments in markets that are not active, and independent pricing models or other model-based valuation techniques using observable inputs.
- Level 3 – Certain types of financial instruments are classified as Level 3 within the valuation hierarchy because these financial instruments trade infrequently and, therefore, have little or no price transparency.

Valuation for certain investments is based on the net asset value (NAV) per share provided by fund administrators.

The following table presents a categorization, based on the foregoing valuation hierarchy, of the Company's financial instruments measured at fair value as of December 31, 2021:

	Level 1	Level 2	Level 3	Fair Value
Assets limited as to use:				
Cash investments	\$ 84	\$ –	\$ –	\$ 84
Equity securities	4,167	2	–	4,169
Fixed-income securities	707	1,053	5	1,765
Asset allocation funds	93	–	–	93
Global/international debt funds	228	–	–	228
	<u>\$ 5,279</u>	<u>\$ 1,055</u>	<u>\$ 5</u>	<u>6,339</u>
Investments measured using NAV per share or its equivalent				<u>4,748</u>
Fair value of assets limited as to use				<u>\$ 11,087</u>

IHC Health Services, Inc.
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6. Fair Value Measurements (continued)

The following table presents a categorization, based on the foregoing valuation hierarchy, of the Company's financial instruments measured at fair value as of December 31, 2020:

	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Fair Value</u>
Assets limited as to use:				
Cash investments	\$ 380	\$ 3	\$ –	\$ 383
Equity securities	3,775	2	2	3,779
Fixed-income securities	264	1,459	5	1,728
Asset allocation funds	61	–	–	61
Global/international debt funds	144	–	–	144
Investment derivatives, net	–	(1)	–	(1)
	<u>\$ 4,624</u>	<u>\$ 1,463</u>	<u>\$ 7</u>	6,094
Investments measured using NAV per share or its equivalent				<u>3,420</u>
Fair value of assets limited as to use				<u>\$ 9,514</u>

Changes in Level 3 financial instruments were not significant.

The Company uses a practical expedient for the estimation of the fair value of investments in funds for which the investment does not have a readily determinable fair value. The practical expedient used by the Company for certain financial instruments is the NAV per share. The NAV per share provided by fund administrators for these financial instruments considers variables such as the financial performance of underlying investments, recent sales prices of underlying investments and other pertinent information. Management reviews the valuations and assumptions used by fund administrators to determine NAV per share for reasonableness and believes that the carrying amounts of the related financial instruments are reasonable estimates of fair value.

The practical expedient used by the Company for certain financial instruments is the NAV per share equivalent. For these financial instruments, the valuation of the transaction price is initially used as the best estimate of fair value. Accordingly, when a private debt, private equity, real asset or strategic development fund administrator provides a valuation, it is adjusted so the value at inception equals the transaction price. The initial valuation is adjusted when changes to inputs and assumptions are corroborated by evidence, such as transactions of similar financial instruments; completed or pending third-party transactions in the underlying security; offerings in the capital markets; or changes in financial results, data or cash flows. For positions that are not traded in active markets or are subject to notice provisions, valuations are adjusted to reflect such provisions, and the adjustments are generally based on available market evidence.

IHC Health Services, Inc.
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6. Fair Value Measurements (continued)

The Company used the NAV per share or its equivalent to measure fair value of the following types of investments as of December 31:

	<u>2021</u>	<u>2020</u>	<u>Redemption Frequency</u>	<u>Redemption Notice Period</u>
Global/international debt funds	\$ 90	\$ 91	Daily	15 days
Common/collective trust funds	1,546	1,150	Monthly	5 to 30 days
Global/international equity funds	408	206	Monthly	10 to 60 days
Absolute return and hedge funds	786	668	Monthly, quarterly	5 to 90 days
Private debt, private equity, real asset and strategic development funds	1,918	1,305	Event driven	—
	<u>\$ 4,748</u>	<u>\$ 3,420</u>		

The fair values of private debt, private equity, real asset and strategic development funds were estimated using the most current information available, which is as of September 30 of the year listed or later, adjusted for cash flows and other known events impacting fair value since the valuation date. The Company has committed up to \$3,297 for investment in these funds through 2031, of which \$1,928 had been funded as of December 31, 2021.

Under the provisions of a master netting arrangement, the Company offsets the fair value of certain investment derivative instruments transacted with the same counterparty. The Company invests in a variety of investment derivative instruments through a fixed-income manager that has executed a master netting arrangement with the counterparties of each of its contracts for futures and forward currency purchases and sales whereby the financial instruments held by the same counterparty are legally offset as the instruments are settled.

IHC Health Services, Inc.
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6. Fair Value Measurements (continued)

The following table presents gross investment derivative assets and liabilities, categorized as Level 2 of the valuation hierarchy, reported on a net basis included in assets limited as to use in the consolidated balance sheets:

	December 31	
	2021	2020
Derivative assets:		
Futures contracts	\$ 104	\$ 267
Interest rate swap agreements and other contracts	690	294
	<u>794</u>	<u>561</u>
Derivative liabilities:		
Futures contracts	(104)	(267)
Interest rate swap agreements and other contracts	(690)	(295)
	<u>(794)</u>	<u>(562)</u>
Investment derivatives, net	<u>\$ —</u>	<u>\$ (1)</u>

7. Assets Limited as to Use

Assets limited as to use consisted of internally and externally designated investments as follows:

	December 31	
	2021	2020
Internally designated	\$ 10,178	\$ 8,875
Securities held for affiliate	508	210
Donor-restricted funds	307	239
Bond funds held in trust	94	190
	<u>\$ 11,087</u>	<u>\$ 9,514</u>

Assets limited as to use reported as current include certain internally designated investments. These investments are available for the payment of amounts due to brokers for securities purchased, repayment of long-term debt subject to short-term remarketing arrangements should such repayment become necessary, and the transfer of securities held for affiliate should the funds be requested.

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7. Assets Limited as to Use (continued)

Assets limited as to use reported as noncurrent include certain internally designated investments, donor-restricted funds, and bond funds held in trust. These internally designated investments are available for the acquisition of property and equipment, repayment of long-term debt, and the payment of professional and general liability and workers' compensation self-insurance claims. Donor-restricted funds include amounts held by the Foundation that will be used for various healthcare programs and services, buildings and equipment, or research activities. Bond funds held in trust include amounts held by a trustee in accordance with bond trust indentures, the use of which is primarily restricted to reimbursing the Company for the costs of certain capital projects.

The Company classified its assets limited as to use as follows:

	December 31	
	2021	2020
Other-than-trading equity securities	\$ 6,758	\$ 5,736
Trading securities	3,122	2,810
Investments held by the Foundation	814	451
Equity method investment funds and other	214	205
Other-than-trading fixed-income securities	179	312
	<u>\$ 11,087</u>	<u>\$ 9,514</u>

Other-than-trading fixed-income securities in a continuous unrealized loss position as of December 31, 2021 and 2020 were not significant.

IHC Health Services, Inc.
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8. Property and Equipment

A summary of property and equipment is as follows:

	December 31	
	2021	2020
Buildings and improvements	\$ 4,267	\$ 4,029
Equipment and software	1,846	1,745
	6,113	5,774
Less accumulated depreciation	(3,454)	(3,123)
	2,659	2,651
Land	461	370
Construction in progress	285	334
	<u>\$ 3,405</u>	<u>\$ 3,355</u>

The estimated useful life is 10 to 40 years for buildings and improvements, 3 to 15 years for equipment and 3 to 7 years for software. As of December 31, 2021, the Company had remaining contractual obligations of \$251 for various construction and software development projects.

9. Other Assets

A summary of other noncurrent assets is as follows:

	December 31	
	2021	2020
Goodwill	\$ 463	\$ 329
Right-of-use assets, net	282	268
Intangible assets, net	146	125
Contributions receivable, net	86	72
Prepaid health and welfare plan benefit	72	59
Investments in unconsolidated entities	53	46
Other	44	37
	<u>\$ 1,146</u>	<u>\$ 936</u>

The remaining weighted average intangible asset amortization period was 11.7 and 13.3 years as of December 31, 2021 and 2020, respectively.

IHC Health Services, Inc.
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10. Other Current Liabilities

A summary of other current liabilities is as follows:

	December 31	
	2021	2020
Medicare advance payments (see Note 23)	\$ 174	\$ 120
Medical claims payable	98	101
Medicare and Medicaid settlements	82	75
Lease liabilities, current portion	50	46
Self-insurance liabilities, current portion	43	43
Other	41	39
	<u>\$ 488</u>	<u>\$ 424</u>

Medicare and Medicaid settlements represent estimated cost report and other third-party settlements. Laws and regulations governing Medicare and Medicaid change frequently, are complex, and are subject to interpretation. Administrative procedures for both Medicare and Medicaid preclude final settlement until the related cost reports have been audited by the sponsoring agency and settled.

11. Lines of Credit

The Company had aggregate lines of credit of \$300 available as of December 31, 2021 and 2020. As of December 31, 2021, the Company had a syndicated line of credit of \$200, expiring on May 28, 2024, and a syndicated line of credit of \$100, expiring on October 6, 2022. As of December 31, 2021 and 2020, there were no amounts outstanding on the lines of credit.

12. Self-insurance Liabilities

Self-insurance programs include professional and general liability, workers' compensation, and directors' and officers' liability coverage through self-insurance programs and commercial excess liability insurance. Total undiscounted self-insurance liabilities, including current and noncurrent liabilities, were \$190 and \$164 as of December 31, 2021 and 2020, respectively. The noncurrent portion of self-insurance liabilities is included in other liabilities in the consolidated balance sheets. The liabilities for the professional liability and workers' compensation programs are based on actuarial estimates.

IHC Health Services, Inc.
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13. Long-term Debt

The Company's long-term debt is summarized as follows:

	Annual Interest Rates	December 31	
		2021	2020
Revenue bond issues:			
2000, due through 2035	Variable ¹	\$ 125	\$ 125
2002B and 2002C, due through 2035	Variable ¹	42	42
2003, due through 2036	Variable ¹	272	301
2005, due through 2037	Variable ¹	143	143
2012A, due through 2039	4.38%	200	200
2012, due through 2043	2.75%	—	6
2014A, due through 2045	4.00% to 5.00%	158	158
2014B and 2014C, due through 2049	Variable ¹	80	80
2016A, due through 2026	5.00%	39	39
2016B, due through 2047	3.00% to 5.00%	172	172
2016C, 2016D and 2016E, due through 2051	Variable ¹	200	200
2018A, due through 2041	4.00% to 5.00%	181	181
2018B, due through 2057	5.00%	100	100
2018C, due in 2058	Variable ¹	50	50
2018 taxable issue, due in 2048	4.13%	401	401
2020A, due through 2050	3.00% to 5.00%	200	200
2020B, due through 2060	5.00%	150	150
		<u>2,513</u>	<u>2,548</u>
Add net unamortized premiums, discounts and debt issuance costs		149	164
Less current portion of long-term debt		(30)	(35)
Less long-term debt subject to short-term remarketing arrangements		<u>(436)</u>	<u>(488)</u>
Long-term debt		<u>\$ 2,196</u>	<u>\$ 2,189</u>

¹Variable rates as of December 31, 2021 and 2020 were 0.07% to 0.12% and 0.06% to 0.11%, respectively.

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13. Long-term Debt (continued)

As of December 31, 2021, the Company had certain interest rate swap agreements that effectively convert \$485 of the principal balances of \$912 of its variable-rate debt to a fixed-rate basis.

In July 2020, the Company issued \$200 of Series 2020A Hospital Revenue Bonds at a premium of \$43, \$150 of Series 2020B Hospital Revenue Bonds at a premium of \$31, and \$174 of additional Series 2018 Taxable Bonds at a premium of \$52. Proceeds from the Series 2020A and 2020B Hospital Revenue Bonds are being used to fund construction costs for certain of the Company's healthcare facilities. Proceeds from the additional Series 2018 Taxable Bonds were used to refund \$215 of Series 2012 Hospital Revenue Bonds. The net gain on defeasance recognized by the Company was not significant.

Variable-rate revenue bonds, while subject to long-term amortization periods, may be put to the Company or to contracted liquidity providers by virtue of executed standby bond purchase agreements at the option of the bondholders in the event of a failed bond remarketing. To the extent that bondholders may, under the terms of the debt, put their bonds back to the Company and the repayment terms under the related liquidity facility could be due within one year, the principal amount of such bonds has been classified as a current liability in the consolidated balance sheets. Management has taken steps to provide various sources of liquidity in the event the bonds fail to remarket, including identifying alternate sources of financing and maintaining internally designated assets as a source of self-liquidity.

Revenue bonds are issued by municipalities or counties on behalf of the Company and are secured by notes issued by the Company under a master trust indenture (MTI). Under the terms of the MTI, the requirement to repay long-term debt evidenced by the notes is a general obligation of the Company as the current sole member of an obligated group established by the MTI, but is not secured by a pledge, grant or mortgage of any assets of the Company. The MTI and other credit and liquidity facility agreements contain certain financial covenants, including maintaining a minimum debt service coverage ratio and an unrestricted cash and investments to debt ratio.

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13. Long-term Debt (continued)

Principal maturities of long-term debt for the next five years and thereafter, considering long-term debt subject to short-term remarketing arrangements is due according to the long-term amortization schedules, are as follows:

2022	\$	30
2023		30
2024		34
2025		34
2026		40
Thereafter		<u>2,345</u>
Long-term debt principal payments	\$	<u>2,513</u>

14. Interest Rate Swap Agreements

The Company has certain interest rate swap agreements related to its long-term debt to manage its exposure to fluctuations in interest rates. These interest rate swap agreements are reported in other liabilities in the consolidated balance sheets. The valuation of these agreements is determined using accepted valuation techniques, including an analysis of the discounted expected cash flows of each interest rate swap. This analysis reflects the contractual terms of the interest rate swaps, including the period to maturity or call, and uses observable market-based inputs, including interest rate curves and implied volatilities. In addition, the Company has incorporated the risks of its own and the counterparties' nonperformance in the fair value measurements.

Changes in the fair value of these swap agreements are recognized in investment income in the consolidated statements of operations and changes in net assets. For the year ended December 31, 2021, unrealized gains associated with interest rate swaps not designated as hedges were \$56. For the year ended December 31, 2020, unrealized losses associated with interest rate swaps not designated as hedges were \$65. Notional amounts of these interest rate swap agreements were \$908 as of December 31, 2021. None of these interest rate swap agreements were designated as cash flow hedges as of December 31, 2021 or 2020.

Accumulated net losses from interest rate swap agreements previously designated as cash flow hedges that have not been recognized in excess of revenues over expenses in the consolidated statements of operations and changes in net assets were \$44 as of December 31, 2021. These accumulated net losses will be amortized to investment income in the consolidated statements of operations and changes in net assets through 2037 using the effective interest method.

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14. Interest Rate Swap Agreements (continued)

The fair value of these interest rate swap liabilities, categorized as Level 2 of the valuation hierarchy and recorded in other liabilities in the consolidated balance sheets, was \$222 and \$278 as of December 31, 2021 and 2020, respectively.

The Company has International Swap Dealers Association (ISDA) Master Agreements with six counterparties. Under the provisions of one ISDA agreement, as amended, the Company is required to deposit collateral with the counterparty when the net liability position of the Company for all interest rate swap agreements held with the counterparty exceeds \$75 exclusive of any fair value adjustments to the liability positions for nonperformance risk. As of December 31, 2021 and 2020, no collateral was required to be posted under the provisions of this ISDA agreement. The provisions of the other ISDA agreements do not require collateral deposits.

Under master netting provisions of each ISDA agreement, the Company is permitted to settle with the counterparty on a net basis. Due to the right of offset under these master netting provisions, the Company offsets the fair value of certain interest rate swap agreements and any related collateral deposited with the counterparty in the consolidated balance sheets.

15. Leases

The Company leases medical and administrative office buildings, equipment and vehicles to support operations. The present values of right-of-use assets, included in other assets, and lease liabilities, included in other current liabilities and other liabilities, reported in the consolidated balance sheets as of December 31 were as follows:

	2021		2020	
	Operating Leases	Financing Leases	Operating Leases	Financing Leases
Other assets	\$ 246	\$ 36	\$ 234	\$ 34
Other current liabilities	44	6	42	4
Other liabilities	209	31	199	34

The weighted average terms and discount rates of operating and financing leases as of December 31 were as follows:

	2021		2020	
	Operating Leases	Financing Leases	Operating Leases	Financing Leases
Terms (years)	10.5	11.3	10.4	13.9
Discount rates	1.9%	1.6%	1.9%	2.0%

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15. Leases (continued)

Lease expenses incurred by the Company were as follows:

	Year Ended December 31	
	2021	2020
Operating lease expense	\$ 51	\$ 46
Financing lease expense	7	5
	<u>\$ 58</u>	<u>\$ 51</u>

Future lease payments under operating and financing leases for the next five years and thereafter are as follows:

	Operating Leases	Financing Leases
2022	\$ 47	\$ 6
2023	42	6
2024	26	4
2025	23	3
2026	21	2
Thereafter	139	20
	<u>298</u>	<u>41</u>
Present value adjustment	(45)	(4)
	<u>\$ 253</u>	<u>\$ 37</u>

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16. Net Assets with Donor Restrictions

Net assets with donor restrictions are available for the following purposes:

	December 31	
	2021	2020
Subject to expenditure for specified purposes:		
Healthcare programs and services	\$ 161	\$ 150
Buildings and equipment	132	124
Research	17	12
	<u>310</u>	<u>286</u>
Donor-restricted endowments subject to spending policy and appropriation (including net accumulated earnings of \$23 in 2021 and \$15 in 2020):		
Healthcare programs and services	45	27
Research	30	32
	<u>75</u>	<u>59</u>
	<u><u>\$ 385</u></u>	<u><u>\$ 345</u></u>

17. Litigation and Other Matters

The healthcare industry is subject to numerous laws and regulations enacted or issued by federal, state and local governments. Compliance with these laws and regulations can be subject to future government review and interpretation, as well as regulatory actions unknown or unasserted at this time. Nationally, government activity has continued with respect to investigations and allegations concerning possible violations of laws and regulations within the healthcare industry, which could result in the imposition of significant fines and penalties, and significant repayments of amounts received for patient services previously billed. The Company is subject to such regulatory reviews.

Management is aware of certain asserted and unasserted legal claims and regulatory matters arising in the normal course of business. After consultation with legal counsel, management believes that all asserted and known unasserted claims will be resolved without material adverse effect on the Company's financial condition.

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18. Revenues

Patient Services Revenues

Payments received under Medicare, Medicaid and other programs are generally based on predetermined rates or the allowable cost of services. Overall, Medicare and Medicaid payments are less than the Company's established rates and corresponding contractual adjustments are recognized in the period services are rendered. Medicare and Medicaid settlements relating to prior years were not significant during either 2021 or 2020.

Patient services revenues by major payer source were as follows:

	Year Ended December 31	
	2021	2020
Commercial insurance and other	\$ 2,181	\$ 1,891
Medicare	1,714	1,374
Self-pay – after insurance	1,135	909
Medicaid	907	707
SelectHealth (nongovernment-sponsored)	886	935
Self-pay – no insurance	67	37
	<u>\$ 6,890</u>	<u>\$ 5,853</u>

19. Functional Expenses

A summary of expenses by nature and function for the year ended December 31, 2021 is as follows:

	Program Services			Admini- strative	Total Expenses
	Hospitals	Clinics	Healthcare Benefits		
Employee compensation and benefits	\$ 2,534	\$ 738	\$ 198	\$ 426	\$ 3,896
Supplies	1,201	135	49	458	1,843
Medical claims	—	—	745	—	745
Other operating expenses	202	129	73	775	1,179
Depreciation and amortization	294	46	11	55	406
Interest	57	9	—	—	66
	<u>\$ 4,288</u>	<u>\$ 1,057</u>	<u>\$ 1,076</u>	<u>\$ 1,714</u>	<u>\$ 8,135</u>

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19. Functional Expenses (continued)

A summary of expenses by nature and function for the year ended December 31, 2020 is as follows:

	Program Services			Admini- strative	Total Expenses
	Hospitals	Clinics	Healthcare Benefits		
Employee compensation and benefits	\$ 2,268	\$ 672	\$ 148	\$ 413	\$ 3,501
Supplies	1,045	115	36	443	1,639
Medical claims	—	—	645	—	645
Other operating expenses	260	113	59	689	1,121
Depreciation and amortization	282	45	14	56	397
Interest	53	8	—	—	61
	<u>\$ 3,908</u>	<u>\$ 953</u>	<u>\$ 902</u>	<u>\$ 1,601</u>	<u>\$ 7,364</u>

The consolidated financial statements report certain categories of expenses that are attributable to one or more programs or supporting activities of the Company. These expenses include those incurred in shared support services. Costs are generally allocated based on the relative size of the operating unit receiving the allocations.

Program services include a broad range of general and specialized healthcare activities for patients within the various geographic areas supported by the Company's operations. Healthcare benefits include costs incurred related to payments of claims under capitation arrangements and population health at-risk contracts. Administrative functions include information systems, revenue cycle, risk management, human resources, supply chain, marketing and communications, telehealth, business applications, leadership, accounting, finance, internal audit, fundraising, legal, compliance and other administrative functions.

20. Loss from Nonoperating Affiliates

As described in Note 2, the activities of nonoperating affiliates represent strategic investments of the Company and are peripheral to the core operations of delivering healthcare services. These nonoperating affiliate activities include the development of commercially available products, technologies and services directed toward improving the delivery of healthcare.

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20. Loss from Nonoperating Affiliates (continued)

A summary of losses from nonoperating affiliates is as follows:

	Year Ended December 31	
	2021	2020
Revenues	\$ 23	\$ 81
Expenses		
Employee compensation and benefits	17	54
General and administrative	5	28
Depreciation and amortization	3	9
	<u>25</u>	<u>91</u>
Net loss before other income and taxes	(2)	(10)
Other income, net	<u>3</u>	<u>11</u>
Net income before taxes	1	1
Income tax expense	<u>(20)</u>	<u>(1)</u>
Net loss	<u>\$ (19)</u>	<u>\$ —</u>

21. Employee Retirement and Other Postretirement Plans

Intermountain sponsors a noncontributory defined benefit pension plan covering certain employees who are at least 21 years of age and have a minimum of one year of qualifying service. This plan closed on April 4, 2020. Employees hired on or after April 5, 2020 are not participants in the plan. Eligibility and benefits under the plan are unchanged for employees hired on or prior to the closing date.

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21. Employee Retirement and Other Postretirement Plans (continued)

A summary of changes in the benefit obligations, fair value of plan assets, and the pension liability is as follows:

	Year Ended December 31	
	2021	2020
Change in benefit obligation:		
Benefit obligation at beginning of year	\$ 3,705	\$ 3,280
Service cost	189	162
Interest cost	99	110
Actuarial loss (gain)	(90)	365
Benefits paid	(275)	(212)
Benefit obligation at end of year	3,628	3,705
Change in fair value of plan assets:		
Fair value of plan assets at beginning of year	3,065	2,818
Actual return on plan assets, net of expenses	411	297
Employer contributions	197	162
Benefits paid	(275)	(212)
Fair value of plan assets at end of year	3,398	3,065
Funded status – net liability	\$ 230	\$ 640

The accumulated benefit obligation of the pension plan was \$3,255 and \$3,355 as of December 31, 2021 and 2020, respectively.

Amounts included in net assets without donor restrictions that will be recognized in pension cost in future periods were as follows:

	December 31	
	2021	2020
Unrecognized net actuarial loss	\$ (957)	\$ (1,377)
Unrecognized net prior service credit	5	15
Amounts in net assets without donor restrictions	\$ (952)	\$ (1,362)

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21. Employee Retirement and Other Postretirement Plans (continued)

Changes in net assets without donor restrictions for the pension plan were as follows:

	Year Ended December 31	
	2021	2020
Amortized during the year:		
Net actuarial loss	\$ 105	\$ 81
Net prior service credit	(13)	(17)
Occurring during the year:		
Net actuarial gain (loss)	315	(242)
Net prior service credit	3	—
Increase (decrease) in net assets without donor restrictions	<u>\$ 410</u>	<u>\$ (178)</u>

Net actuarial gains and losses incurred in the pension plan during 2021 and 2020 resulted primarily from changes in the discount rate and differences between the actual returns on plan assets and the assumed returns.

Assumptions used to determine the benefit obligation in the pension plan were as follows:

	December 31	
	2021	2020
Discount rate	3.06%	2.75%
Rate of compensation increase	4.50	4.50

A summary of pension cost is as follows:

	Year Ended December 31	
	2021	2020
Service cost	\$ 189	\$ 162
Amortization of net actuarial loss	105	81
Interest cost	99	110
Amortization of net prior service credit	(13)	(17)
Expected return on plan assets	(183)	(174)
	<u>\$ 197</u>	<u>\$ 162</u>

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21. Employee Retirement and Other Postretirement Plans (continued)

Net actuarial loss and net prior service credit amounts in net assets without donor restrictions expected to be recognized as components of investment income in 2022 are \$77.

Assumptions used to determine pension cost were as follows:

	Year Ended December 31	
	2021	2020
Discount rate	2.75%	3.46%
Expected return on plan assets	6.50	6.50
Rate of compensation increase	4.50	4.00

The overall rate of return on assets assumption is based on historical returns, adhering to the asset allocations set forth in the investment policies of the pension plan. The expected return on plan assets is 6.50% for determining pension cost for the year ending December 31, 2022.

Methods for determining the fair value of financial instruments held by the pension plan are consistent with those described in Note 6. The following table presents a categorization, based on the valuation hierarchy, of the pension plan's financial instruments measured at fair value as of December 31, 2021:

	Level 1	Level 2	Fair Value
Cash investments	\$ 80	\$ —	\$ 80
Equity securities	1,046	—	1,046
Fixed-income securities	260	519	779
Investment derivatives, net	—	2	2
	<u>\$ 1,386</u>	<u>\$ 521</u>	1,907
Investments measured using NAV per share or its equivalent			1,612
Transactions pending settlement, net			(121)
Fair value of plan assets			<u>\$ 3,398</u>

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21. Employee Retirement and Other Postretirement Plans (continued)

The following table presents a categorization, based on the valuation hierarchy, of the pension plan's financial instruments measured at fair value as of December 31, 2020:

	Level 1	Level 2	Fair Value
Cash investments	\$ 88	\$ —	\$ 88
Equity securities	815	—	815
Fixed-income securities	288	474	762
Investment derivatives, net	—	5	5
	<u>\$ 1,191</u>	<u>\$ 479</u>	<u>1,670</u>
Investments measured using NAV per share or its equivalent			1,439
Transactions pending settlement, net			(44)
Fair value of plan assets			<u>\$ 3,065</u>

The pension plan uses the NAV per share or its equivalent to measure fair value of the following types of financial instruments as of December 31, as described in Note 6:

	2021	2020	Redemption Frequency	Redemption Notice Period
Common/collective trust funds	\$ 503	\$ 480	Monthly	5 to 30 days
Global/international equity funds	121	95	Monthly	60 days
Absolute return and hedge funds	296	276	Monthly, quarterly, annually	5 to 90 days
Private debt, private equity and real asset funds	692	588	Event driven	—
	<u>\$ 1,612</u>	<u>\$ 1,439</u>		

The Company has committed up to \$1,415 for investment in these funds through 2031, of which \$957 had been funded as of December 31, 2021.

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21. Employee Retirement and Other Postretirement Plans (continued)

Consistent with practices described in Note 6, the pension plan offsets the fair value of various investment derivative instruments when executed with the same counterparty under a master netting arrangement whereby the financial instruments held by the same counterparty are legally offset as the instruments are settled.

The following table presents gross investment derivative assets and liabilities reported on a net basis in pension plan investments:

	December 31	
	2021	2020
Derivative assets:		
Futures contracts	\$ 93	\$ 145
Forward currency and other contracts	40	21
	<u>133</u>	<u>166</u>
Derivative liabilities:		
Futures contracts	(93)	(145)
Forward currency and other contracts	(38)	(16)
	<u>(131)</u>	<u>(161)</u>
Investment derivatives, net	<u>\$ 2</u>	<u>\$ 5</u>

Intermountain has not yet determined the amount it will contribute to the pension plan in 2022.

Benefit payments of the pension plan are expected to be paid as follows:

2022	\$ 214
2023	214
2024	223
2025	230
2026	236
2027–2031	1,206

Intermountain also sponsors a 401(k) defined contribution plan for eligible employees. Employee contributions are matched up to a maximum of 4% of each participant's eligible compensation. The Company also contributes 2% of eligible compensation for participants hired subsequent to the pension plan closing date. The Company contributed \$91 and \$40 to the 401(k) plan in 2021 and 2020, respectively. The Company temporarily suspended matching contributions to the 401(k) plan from July through December 2020.

IHC Health Services, Inc.
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21. Employee Retirement and Other Postretirement Plans (continued)

Additionally, Intermountain sponsors a 457(b) defined contribution plan. Employee contributions invested for the 457(b) plan were \$202 and \$171 as of December 31, 2021 and 2020, respectively, and are included in noncurrent assets limited as to use and other liabilities in the consolidated balance sheets.

Furthermore, Intermountain sponsors a contributory health and welfare benefit plan that offers postretirement benefits including medical, dental and group term life insurance to eligible employees who have at least 10 years of qualified service and have attained age 55 while in service with the Company. The plan also provides disability benefits for eligible active employees including medical, dental and short-term income replacement.

A summary of the benefit obligation, fair value of plan assets and unrecognized net actuarial gain that will be recognized in future periods for the postretirement health and welfare benefits is as follows:

	December 31	
	2021	2020
Fair value of plan assets	\$ 90	\$ 79
Benefit obligation	18	20
Unrecognized net actuarial gain	72	66

Intermountain has frozen certain postretirement health and welfare benefits; therefore, the effect of future healthcare cost trend rates is not significant.

Methods for determining the fair value of financial instruments held for the postretirement health and welfare benefits are consistent with those described in Note 6. All financial instruments as of December 31, 2021 and 2020 were classified as Level 1 or used NAV as a practical expedient.

22. Related Parties

The Company has agreements to provide healthcare services to patients enrolled in insurance plans of SelectHealth, which include a risk sharing component for certain products to promote a shared accountability relationship focusing on clinical quality, health improvement and cost efficiency. The Company recognized \$1,341 and \$1,297 related to these agreements in 2021 and 2020, respectively, which are included in patient services revenues in the consolidated statements of operations and changes in net assets.

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
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22. Related Parties (continued)

The Company also provided pharmacy services to patients enrolled in insurance plans of SelectHealth of \$265 and \$254 in 2021 and 2020, respectively. In addition, the Company provided certain employee benefits, professional and general liability insurance, and management and facility services to SelectHealth of \$57 and \$54 in 2021 and 2020, respectively. These services are included in other revenues in the consolidated statements of operations and changes in net assets.

Furthermore, the Company self-insures health insurance benefits for its employees, for which SelectHealth provided third-party administration and other business services. Administration fees incurred by the Company for these services were \$22 and \$20 in 2021 and 2020, respectively, which are included in employee compensation and benefits in the consolidated statements of operations and changes in net assets.

Due to the related nature of SelectHealth, the amounts recognized may have been different if similar activities had been undertaken with an unrelated party.

SelectHealth returned capital of \$292 to the Company in 2020. The Company previously contributed capital to SelectHealth in 2015 and 2016 totaling \$400 due to the uncertain nature of collections from the federal government related to premium stabilization programs established by the Patient Protection and Affordable Care Act.

During 2021, the Company transferred \$275 to Intermountain Community Care Foundation, Inc., a wholly owned Utah nonprofit corporation that has been granted an exemption from federal income tax as a charitable organization under Section 501(c)(3) of the Code. The earnings of these funds will be used to support education innovation in communities the Company serves and the administration of other community benefit initiatives.

23. COVID-19 Pandemic and CARES Act Funding

On March 11, 2020, the World Health Organization designated the novel coronavirus (COVID-19) outbreak as a global pandemic. In response to COVID-19, the CARES Act was signed into law on March 27, 2020. The CARES Act authorizes funding to hospitals and other healthcare providers to be distributed through the Public Health and Social Services Emergency Fund (Provider Relief Fund).

Payments from the Provider Relief Fund are to be used to prevent, prepare for, and respond to COVID-19, and shall reimburse the recipient for healthcare-related expenses and lost revenues attributable to COVID-19. Additionally, funds are available to reimburse providers for COVID-19 related treatment of uninsured patients.

IHC Health Services, Inc.
Notes to Consolidated Financial Statements
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23. COVID-19 Pandemic and CARES Act Funding (continued)

For the year ended December 31, 2020, the Company recognized revenue associated with Provider Relief Fund payments of \$220, which is included in other operating revenues in the consolidated statements of operations and changes in net assets. Management continues to monitor compliance with the terms and conditions of the Provider Relief Fund. If unable to attest to or comply with current or future terms and conditions, the Company's ability to retain some or all of the distributions received may be impacted. The CARES Act also included provisions to defer employer social security payments. The Company deferred employer social security payments of \$49 and \$97 as of December 31, 2021 and 2020, respectively, which is included in compensation and related liabilities and other liabilities in the consolidated balance sheets based on when the amounts are expected to be paid.

In 2020, the Company received \$290 of Medicare advanced payments through an expanded program of the Centers for Medicare & Medicaid Services meant to expedite cash flow to qualified healthcare providers. In April 2021, recoupments of Medicare advanced payments began in accordance with the terms and conditions of the program. The advanced payments are recognized as revenue for services performed and Medicare claims billed, which will continue through August 2022 when the recoupment period ends. As of December 31, 2021, advanced payments of \$174 were recorded in other current liabilities in the consolidated balance sheets.

24. Subsequent Events

On December 15, 2021, Intermountain signed a definitive agreement to combine with Sisters of Charity of Leavenworth Health System, Inc. (SCL Health). SCL Health is a Catholic ministry that operates as a Kansas nonprofit corporation. SCL Health operates hospitals and clinics in Colorado, Montana and Kansas. The business combination is anticipated to occur in the second quarter of 2022.

In December 2021, Intermountain Nevada filed with the Internal Revenue Service to become a 501(c)(3) charitable organization exempt from federal income tax effective January 1, 2022. In conjunction with this filing, Intermountain Nevada recognized a tax liability of \$52 related to the deemed sale of assets, which is included in other current liabilities in the consolidated balance sheets as of December 31, 2021. As of January 1, 2022, the Company's membership interest in Intermountain Nevada was assigned to Intermountain.

On March 7, 2022, the Company entered into a variable interest term loan agreement maturing on March 1, 2023. Proceeds of \$234 from this loan were used to extinguish all outstanding Series 2000 bonds, all outstanding Series 2002 bonds and a portion of the outstanding Series 2003 bonds.

The Company evaluated subsequent events through March 17, 2022, the date the consolidated financial statements were issued, and determined that no additional disclosures were necessary.